

Danaher, but at an earlier growth phase.”

So my advice again is to stick with the owner-operators.

In the *Seinfeld* episode I mentioned at the outset of the chapter, Jerry sells out in a panic when the stock’s price declines, afraid something is wrong. But Wilkinson, the insider, never sold. In the end, George stuck it out with Wilkinson. “I told you not to sell,” he tells Jerry. “Wilkinson cleaned up.” And so did George.

I called Matt Houk, the co-manager of Virtus Wealth Masters Fund, to discuss the ins and outs of owner-operators in greater detail.

*Betting on Billionaires The sociology of token ownership of equity by both officers and directors of almost all big businesses reinforces an anti-entrepreneurial style that is considered normal behavior, even by the professional investor.*

— Martin Sosnoff, *Silent Investor, Silent Loser*

“When my mother asked me what I was doing these days, I explained it to her this way,” Matt Houk told me. “I said, ‘OK, Mom, what if Warren Buffett approached you and said he’d manage your money [for a small fee] — would you let him?’

“‘Of course.’

“‘What about Carl Icahn?’

“‘Yes.’

“‘What about Bill Ackman, David Einhorn or the Tisch family at Loews? Would you let them do it for that fee?’

“‘Yes, absolutely.’

“And that’s what this fund is. People manage your money for a very reasonable fee and you get access to private equity-type talent.

“Odd that there wasn’t a product like this before,” Matt explained.

“It’s such a simple concept. When you put your money in a company, you’re entrusting it to that chairperson, that CEO, that board. It would be nice to have them invested alongside you.”

That idea is a core part of my own investment philosophy. It also helps in ferreting out 100-baggers. Think of some of the greatest stocks of the last half-century and you often find an owner-operator behind it: Steve Jobs at Apple. Sam Walton at Walmart. Bill Gates at Microsoft. Howard Schultz at Starbucks. Warren Buffett at Berkshire Hathaway.